



Mind the Bridge

Tech Scaleup China

中国科技创业公司

2019 Report

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2019 Report

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About Startup Europe Partnership (SEP)

Established by the European Commission in January 2014 at the World Economic Forum in Davos, SEP is the first pan-European open innovation platform dedicated to transforming European startups into scaleups by linking them with global corporations and stock exchanges.

By participating in the SEP program, global companies have access to the best technologies and companies with the goal of initiating business partnerships and venture corporate investments. Scaleups are exposed to qualified sales/strategic opportunities as well as funding options either via venture capital, private placements or IPOs.

SEP is led by Mind the Bridge, a global organization based in Europe and Silicon Valley.

SEP is a Startup Europe initiative. Partners include leading corporates and the European Investment Fund/European Investment Bank Group, London Stock Exchange Group, Nesta, EBAN, European Startup Network, The ScaleUp Institute.

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Mind the Bridge

The Dragon Has Awoken

— by —

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The news is the Scaleup Dragon has definitely awoken.

Since 2014 investments in tech scaleup in China has moved by order of magnitude. Though it is not yet at the US levels, **China managed to distance Europe** consistently pouring in the ecosystem large amounts of capital.

The net result is China producing larger tech companies and approaching the US. Out of the almost 10,000 Chinese scaleups, 528 companies raised 71% of the funding made available to the whole ecosystem. Of them 38 tech giants - what we call "super scalers" - attracted 38% of the funding made available to the entire ecosystem, this is a gargantuan ratio, over the double of Europe (20%) and the US (23%).

Three main big hubs are emerging: Beijing, Shanghai, and Shenzhen that are home to 64% of the Chinese scaleups. Hong Kong is definitively more a financial hub, actually the third tech financial center in the world, right behind NYSE and Nasdaq.

Armed with significant capital and development resources, **corporate venture arms** like internet behemoths Baidu, Alibaba, Tencent, and JD.com and their fiercest competitors are mostly responsible for the transformation of the China VC investment landscape.

The first wave of investments had spurred Travel, Mobile, Internet, and E-Commerce. Now **Artificial Intelligence, Scientific & Engineering Software, and Edutech** are leading the current and future growth in China.

China Has Become an Innovation Powerhouse

China has a scaleup population of slightly less than **10,000 companies** that have been able to raise over \$1 million since its inception.

About 5% (490 of them) have raised over \$100M (we define them as "Scalers"), while 38 (0.4%) got over one billion in funding ("Super Scalers").

This activity results in a density number of 0.7 scaleups per 100K inhabitants.

The Chinese scaleups have raised \$337.3B

since inception, equalling 1.34% of GDP.

China has undoubtedly become an innovation powerhouse.

However, where does it stand compared to the key regions: the US and Europe?

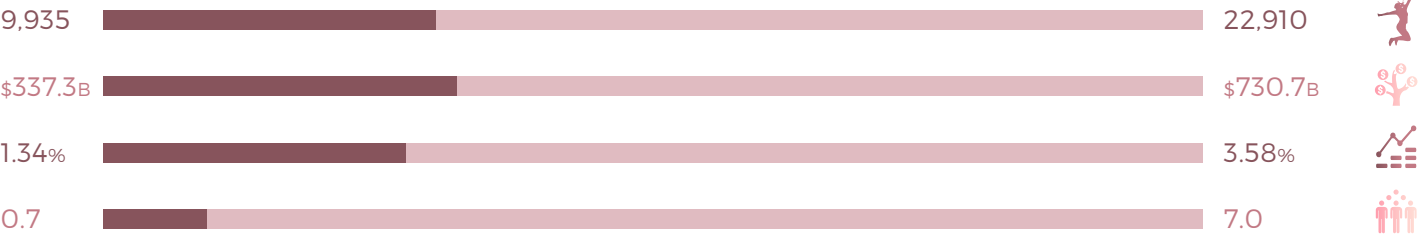
Figure 1
TECH SCALEUP CHINA: KEY FIGURES



Comparing Ecosystems

Figure 2

China vs. US



As of 2018, **we tracked 22,910 scaleups in the US that are twice more than in China**, resulting in a density number of 7 scaleups per 100K inhabitants, which is 10 times more than China. **The gap reduces after factoring in the total capital raised.** The US scaleups have raised \$731B since inception, about twice more than the amount

raised by their European counterparts. Regarding commitment, meaning the percentage of GDP invested, once again the US shines with investments in scaleups equalling 3.58% of GDP (versus 1.34% in China).

Figure 3

China vs. Europe

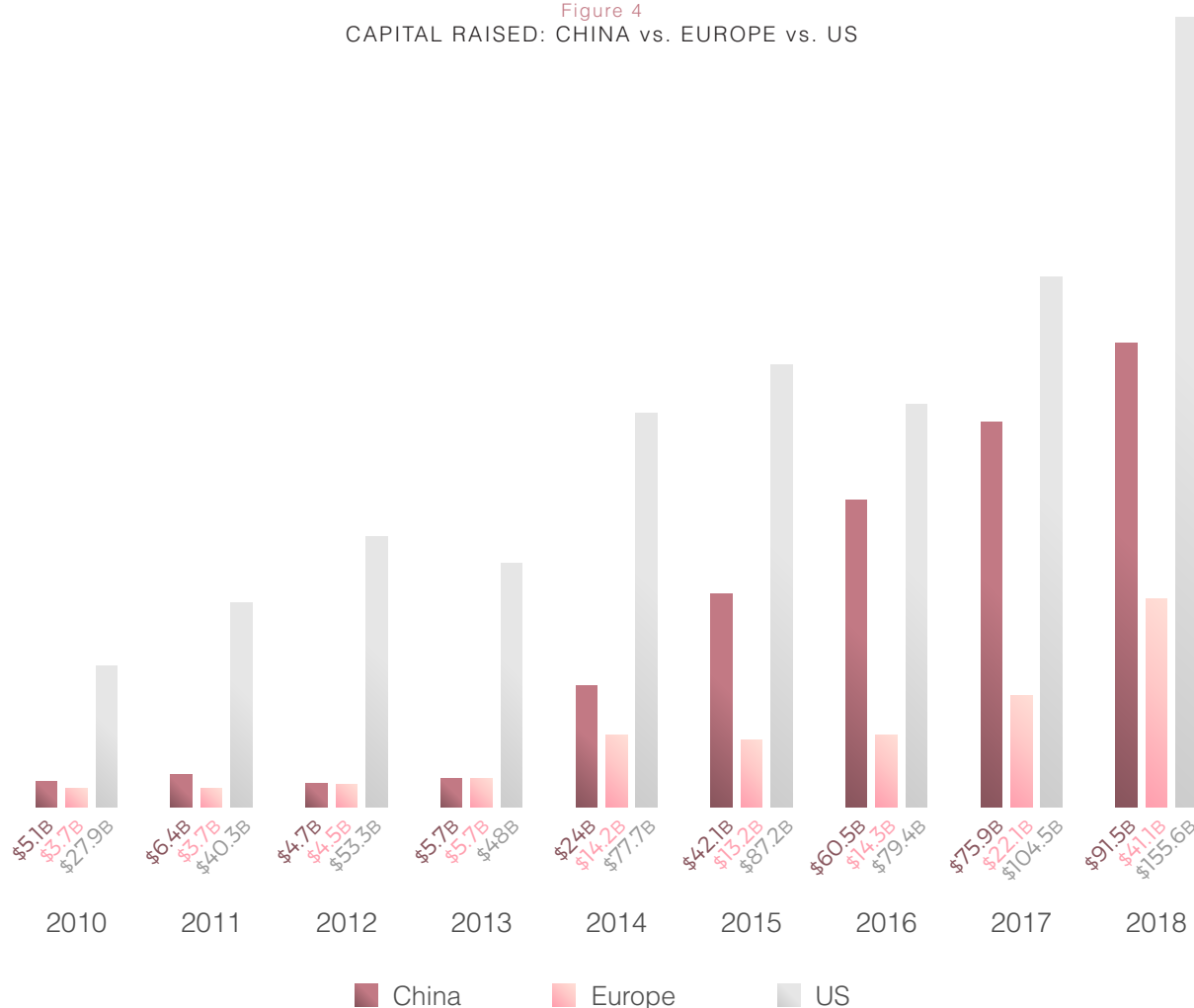


On the other hand, **China is well ahead of Europe (1.4 times more)**, where the number of scaleups is 7,034, 1.2 per 100K inhabitants, this gap is more significant when factoring in the total capital raised.

The Chinese scaleups have raised \$337.3B, about **2.7 times more** than the amount raised by their European counterparts (1.34% of GDP vs. 0.53%).

2014, The Tipping Point for Scaleup China

Figure 4
CAPITAL RAISED: CHINA vs. EUROPE vs. US



By analyzing the capital invested in the top three world's scaleup ecosystems in the current decade, we notice how China and Europe showed a similar pattern of investments until 2013 (about \$5.6B per year on average for China, \$4B in Europe). **In 2014, both the ecosystems made a substantial step forward**, though of different magnitudes. China increased from \$5.7B to \$24B, while Europe to \$14.2B.

Afterward, the two patterns diverge. Chinese investments into scaleups have been continuing to grow (approaching the \$100B bar in 2019, not far from the United States levels), while Europe's investments have been flat in 2015 and 2016, returning to grow only in 2017 and (particularly) 2018.

The net result is, while in 2013, Europe and China were moving about at the same pace (read capital invested), five years later, **China is traveling at more than double velocity than Europe**¹.

Moreover, in these five years, China invested \$294B, while Europe only \$105B.

In this context, the US in 2018 raised the stakes even further, crossing the \$150B bar of capital invested into startups (it was \$88B on average in the period 2014-2017).

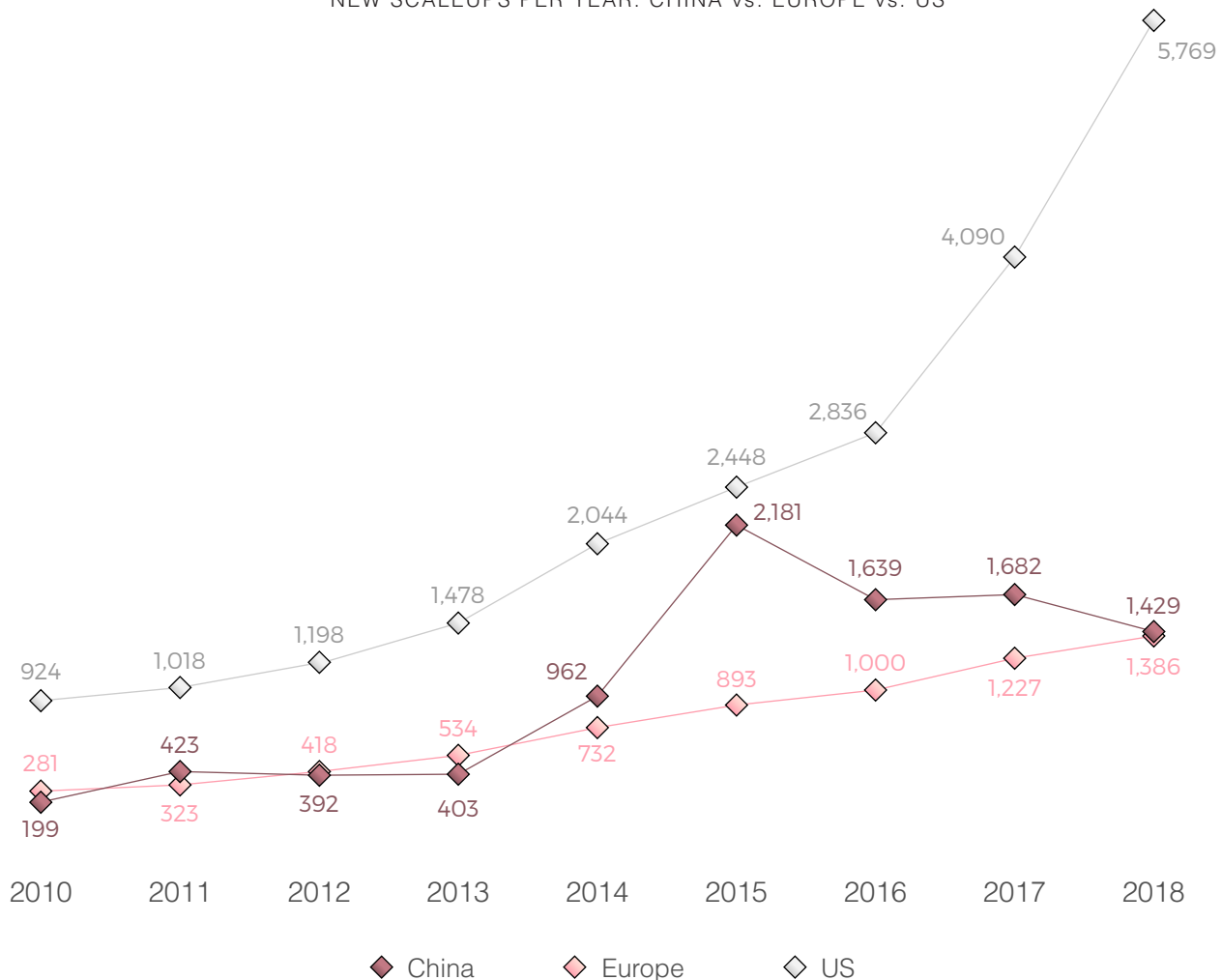
1 - Or even more than that, if we consider that about 25% of 2018 Europe's investments are driven by the huge IPO of Spotify (\$9.2 raised). Though, two large IPOs in 2018 made the difference for China too (Xiaomi with \$4.7B raised, and Meituan Dianping with \$4.2B).

If we look at the number of scaleups, the gap between China and Europe is slightly narrower. While Europe produced about 10-25% more new scaleups each year, China slowed down in the last three years.

In 2018 both ecosystems produced about 1,400 new scaleups, while the US added

4 times more (slightly less than 5,800 scaleups). However, the visible trend is **China producing larger tech scaleups than Europe** (more capital raised, less new scaleups) and approaching - though still at a distance - the US standards.

Figure 5
NEW SCALEUPS PER YEAR: CHINA vs. EUROPE vs. US



What Happened?

Implementation of **business-friendly policies** in the form of subsidies to incubators and innovation parks, establishing VC funds, tax incentives, easy registration of new companies, cutting red tape, and cheaper loans all in one way or another helped fuel mass entrepreneurship and innovation. Additionally, **government guidance funds have been established** with significant fundraising targets, **mandated to invest in a single policy initiative/sector** and to provide capital to local companies.

Aided by these measures, startups have generally flourished across China.

Internet giants Baidu, Alibaba, Tencent, and JD.com, shape the China VC investment landscape.

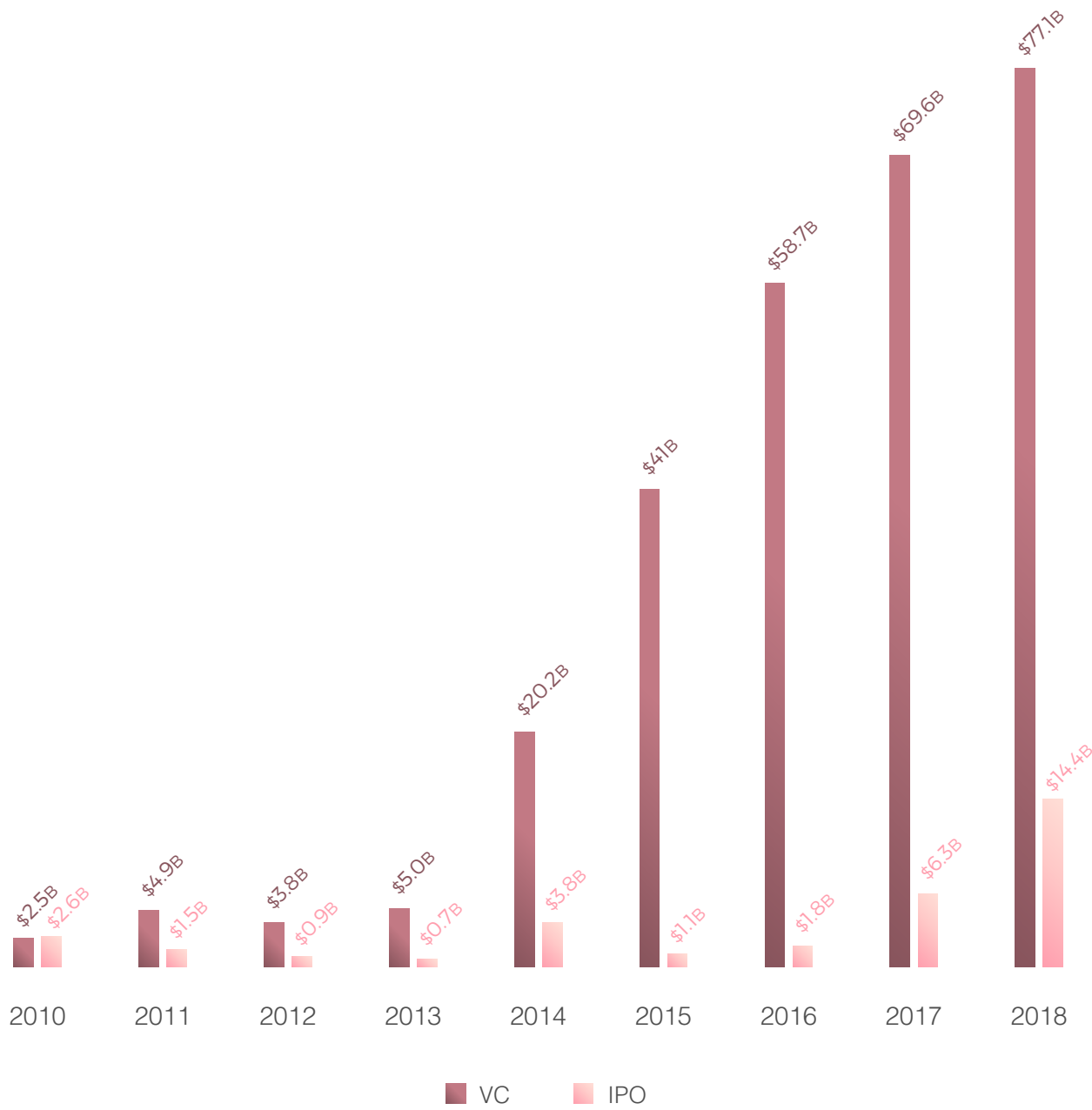
Due to lax anti-trust regulations in China, the large internet platforms do get into many adjacent or not so adjacent industries.

Armed with significant capital and development resources, corporations and corporate venture arms like Baidu Ventures, Alibaba Group,

Tencent Holdings and JD.com and their fiercest competitors are primarily responsible for the transformation of the China investment landscape as they develop horizontally and vertically integrated ecosystems across industries and help determine the winners and losers in many emerging technologies or business verticals. These corporates realized a strategic investment in a startup could prove more attractive for building out an ecosystem than creating a

particular product in-house, **they started acquiring stakes across a diverse sphere of businesses, backing rival players, and driving up valuations in some cases.** Their investments span the entertainment, transportation, logistics, and technology industries, among others, expanding their networks in China and often facilitating horizontal and vertical integration for their core businesses.

Figure 6
CAPITAL RAISED IN CHINA: VC vs. IPO



The Startup Ecosystem Is Still Mostly Venture Capital Driven

Consistently with data that we presented in our latest report dedicated to tech IPO worldwide², China's scaleup ecosystem has been so far, primarily venture-capital motivated.

Only 1.2% of Chinese scaleups went public, and the stock markets collected 9.8% of the capital invested into Chinese scaleups (\$33.1B out of \$337B). It is worth noting that 29% of that capital was raised on the US markets. That said, funding through IPO increased in the last two years (\$6.3B in 2017 and \$14.4B in 2018). Two large IPOs triggered the 2018 growth: Xiaomi and Meituan Dianping collectively account for \$8.9B raised.

The eye-catching fact is that China did not experience the ICO phenomenon because the country currently does not allow for trading in cryptos.

We will keep an eye on the impact of this decision and evolutions in regulatory approaches among the three ecosystems.

As we outlined in our latest report focused on Europe³, ICOs have proven to be a fast-growing channel of funding in Europe (\$7.2B raised in 3 years, of which \$4.4B last year), though some concerns remain (mostly significant price volatility and "illiquidity").

Do Winners Take All?

We observed a trend among tech ecosystems where "**winners take all**", i.e. large scaleups tend to attract the most capital, **this is true also for China, and in an even more visible way** than in Europe and the US.

The 38 tech giants - whom we call "super scalers"⁴ -, representing only 0.4% of the Chinese scaleup population, attracted 38% of the funding made available to the whole ecosystem, this is an enormous ratio that almost doubles that of Europe (20%) and the US (23%).

Additionally, other 490 companies - the "scalers," i.e., companies raising over \$100M, that are 5% of the total - raised 33% of the funding.

China scattered 28% of the capital invested among 9,402 scaleups.

Is Scaleup China following the Silicon Valley Path?

The scaleup size distribution in China stands in between the US and Europe.

Small scaleups (between \$1-10M raised) do account for 67% of tech companies population. They are 61% in Europe and 73% in the US, Mid-size scaleups (\$10-100M) account for 27% of the total in China, versus 24% in Europe and 33% in the US ecosystem.

Comparing this distribution with just 5 years ago, China seems to be moving closer to the US in terms of size of scaleups.

China is on its way of producing larger scaleups and definitively more scalers and super scalers.

Moreover, **China hosts the most significant percentage of Super Scalers** (0.4% of the whole scaleup population).

It is 0.3% in the US and 0.2% in Europe.

2 - Mind the Bridge, *Tech Scaleup IPOs - 2019 Report*, London, June 2019.

3 - See: Mind the Bridge, *Tech Scaleup Europe - 2019 Report*, London, June 2019.

4 - Super Scaler = tech company that raised \$1B since inception, with at least one funding round since 2010. See methodology.

BEIJING - 北京



GUIYANG - 贵阳



运满满

WUHAN - 武汉



BEIJING HAIDIAN DISTRICT - 海淀区

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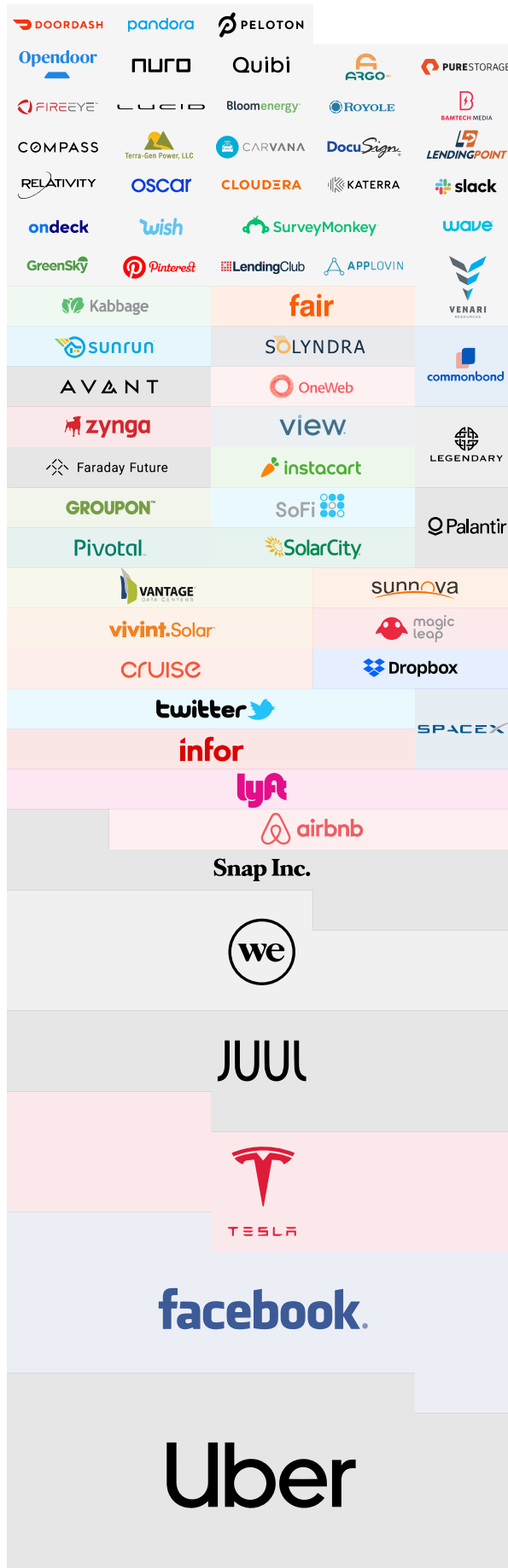
X P E N G

66

SUPER SCALERS

\$197B

CAPITAL RAISED



UNITED STATES

38

SUPER SCALERS



CHINA

\$114B
CAPITAL RAISED



11
SUPER SCALERS

\$25.4B
CAPITAL RAISED

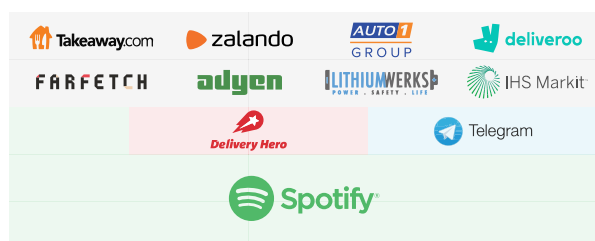
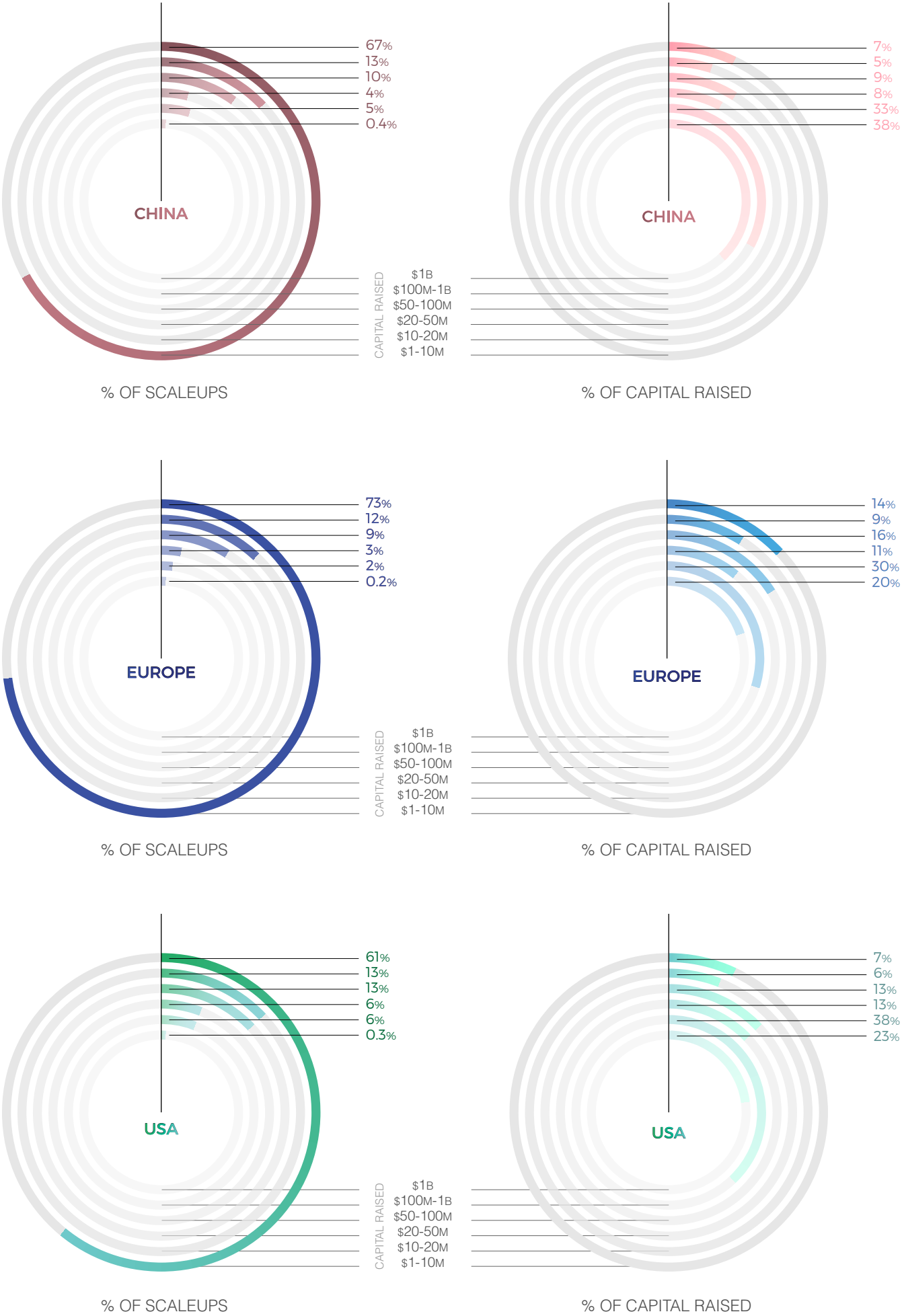


Figure 7
SCALEUP MORPHOLOGY: CHINA vs. EU vs. US



2 Out of 3 Scaleups in China Are in Beijing, Shanghai, and Shenzhen

In Europe and the US, we observed a tendency for startups to concentrate in a few tech hubs, most capital cities⁵.

It partly applies in China, where three main big hubs are emerging.

35% of all scaleups are headquartered in the municipality of the capital city of Beijing⁶.

North of China raised \$161.7B i.e., 48% of the overall amount of capital made available to Chinese scaleups.

Shanghai follows. Here are located 18% of the Chinese scaleups.

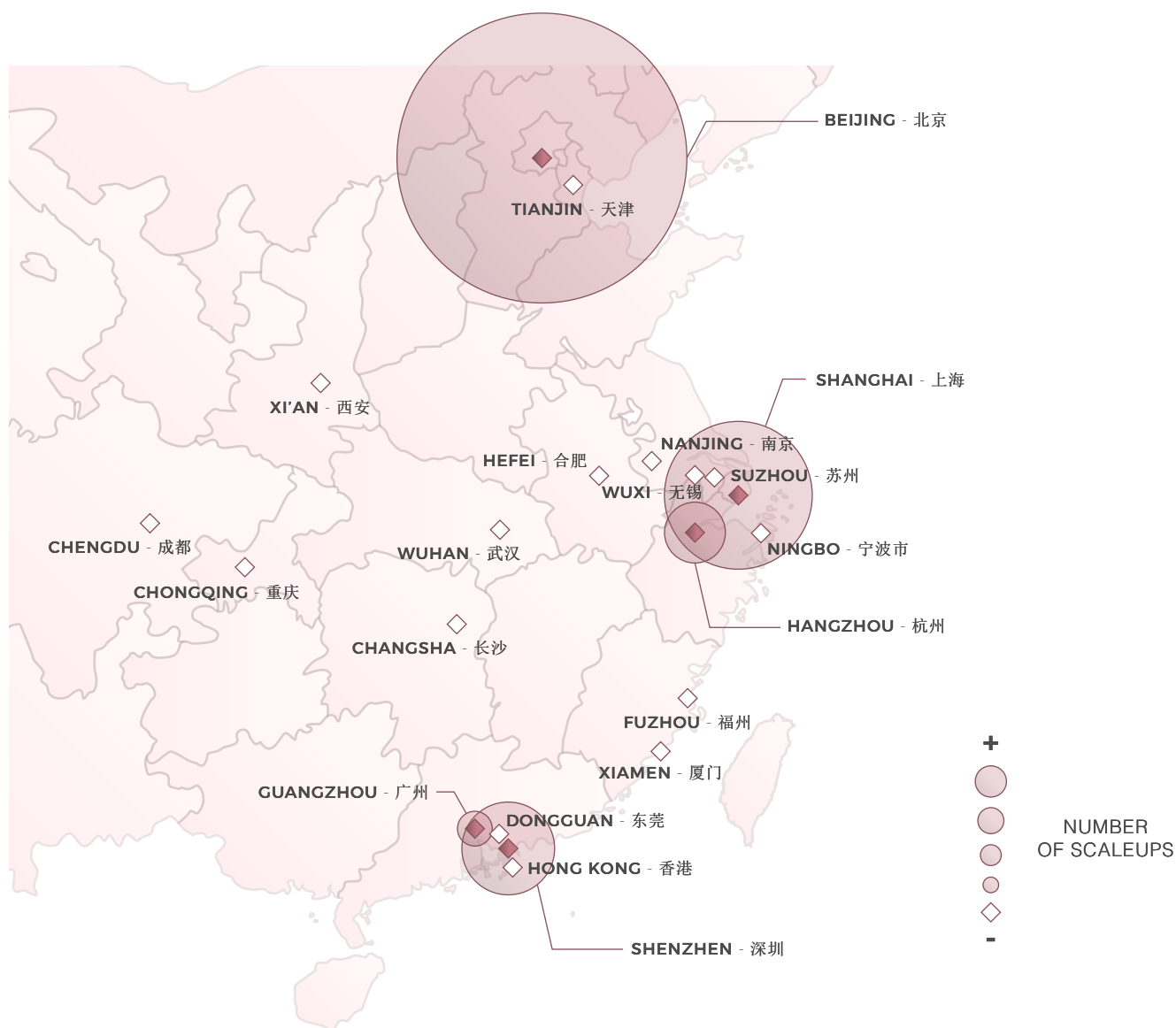
They collected \$58.5B, about one-third of their Beijing-based counterparts.

The third cluster in the ranking is the

fast-growing tech hub of Shenzhen, gaining traction with 1,100 scaleups (11% of total), and over \$27B in investments (8% of total).

It distances by almost 2 times (both in scaleup volume and funding) Hangzhou, the home city of Alibaba⁷, where 689 scaleups (7% of total) capable to attract almost \$20B in funding are based.

Figure 8
CHINA'S CITY HUBS BY NUMBER OF SCALEUPS



5 - See: Mind the Bridge, *StartupCity Hubs in Europe - 2018 Report*, Brussels, November 2018.

6 - Municipality totals include all urban districts- E.g. for Beijing: Haidianqu (海淀区), Chaoyangqu (朝阳区), etc...

7 - To be noted that Alibaba is not included in the total figures since it was founded before 2000. See Methodology.

Guangzhou ranks fifth with 417 scaleups and almost \$10B raised.

Other tier-two tech hubs in the range of 100-250 scaleups each include Chengdu, Nanjing, Wuhan, Suzhou, Xiamen, and Tianjin. Among them, Tianjin (\$7.4B in capital raised) and Nanjing (\$5.2B) are the most relevant in terms of investments.

Our data confirms that **Hong Kong is definitively more a financial hub** rather than a technology cluster. They raised almost \$5B though it is home of “only” 71 scaleups. Also, 27% of all Chinese IPOs (and 100% of the billion dollar ones) floated on the Hong Kong Stock Exchange.

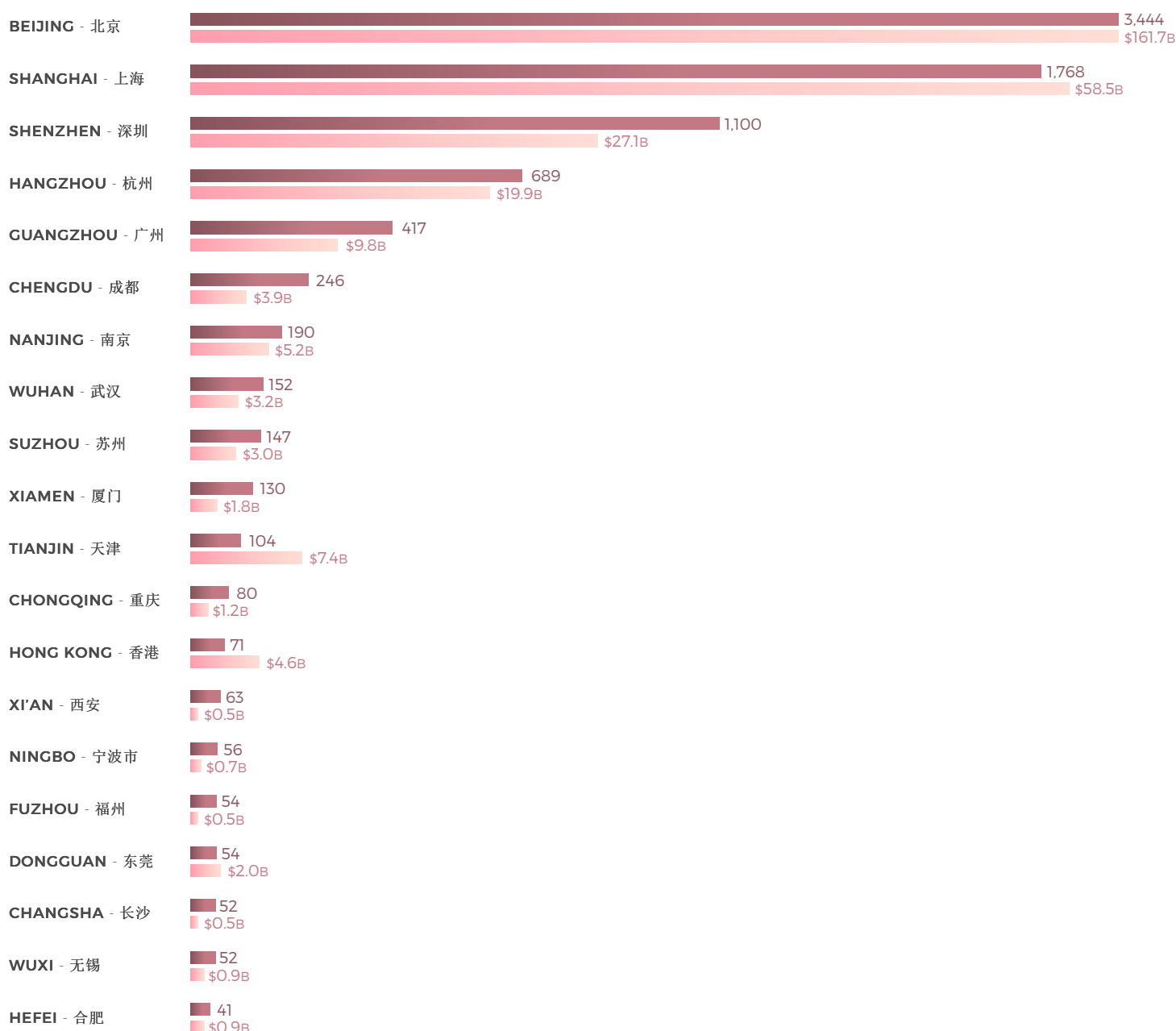
It is the third tech financial center in the world, right behind NYSE and Nasdaq.

The average capital raised by tech scaleups in Hong Kong is \$300M, second only to the Nasdaq and Frankfurt Stock Exchange despite the biased German stock exchange figures by shallow volumes of IPOs, 8 vs. 46.

Focusing on IPOs, the Shenzhen Stock Exchange also plays a strong role (36% of all Chinese IPOs), through mobilizing smaller amounts (\$87M raised on average).

Its figures (63 IPOs, \$5.6B raised) are comparable to the London Stock Exchange.

Figure 9
TECH SCALEUP CHINA CITY HUBS



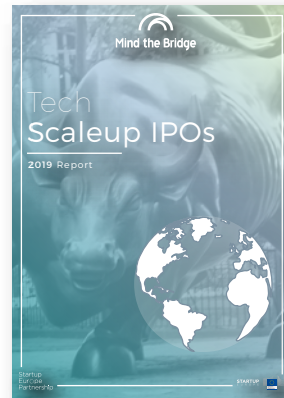
The Shanghai Stock Exchange follows at a distance: 14 tech IPOs, \$1.4B in overall capital raised (\$99M on average).

It ranks 9th in the world's ranking for tech IPOs. With private market valuations reaching peak levels and expansion happening rapidly in many cases, there has been an increasing number of companies looking to IPO, and they are doing so earlier now than ever before.

Exchanges are taking notice.

Hong Kong implemented new rules early 2018

allows unprofitable companies to file for a listing, while Beijing launched its Chinese Depository Receipt (CDR), to allow overseas listed tech companies to have a secondary listing in China's A-share market.



Tech Scaleup IPOs

2019 Report

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Figure 10
TECH SCALEUP IPOs BY STOCK EXCHANGE

Country	Stock Exchange	Capital Raised (\$B)	Number of IPOs	Avg. Cap. Raised (\$M)
	NASDAQ	\$44.1B	182	\$242M
	NYSE	\$38.1B	127	\$300M
	Hong Kong Stock Exchange	\$16.7B	46	\$363M
	Shenzhen Stock Exchange	\$5.6B	63	\$87M
	London Stock Exchange / AIM	\$5.5B	76	\$72M
	Frankfurt Stock Exchange	\$2.2B	8	\$275M
	Euronext Amsterdam	\$1.6B	5	\$328M
	Euronext Paris / Alternext	\$1.5B	28	\$58M
	Shanghai Stock Exchange	\$1.4B	14	\$99M
	Australian Securities Exchange	\$0.5B	33	\$16M

*Includes all IPOs by Chinese, European, US and Israeli Tech Scaleups.

Web, Retail & Shopping Platforms Are Still the Main Backbones

China, with a population of about 1.4 billion people, is a vast market and fast expanding in terms of technology access and urbanization. It's no wonder then that, up to this time, "traditional" digital industries including Web and Retail & Shopping Platforms do play the lion's share. We identified over 3,500 scaleups operating in these two industries. They raised \$124B (37% of total capital).

Fintech is also growing in China, with 1,110 scaleups that collected \$37B.

The Chinese ecosystem also appears to be about to disrupt the infrastructure sector.

Scaleups with technologies applied to Automotive and Logistics, though not many in terms of volume (278, 3% of total), collectively attracted \$42.9B.

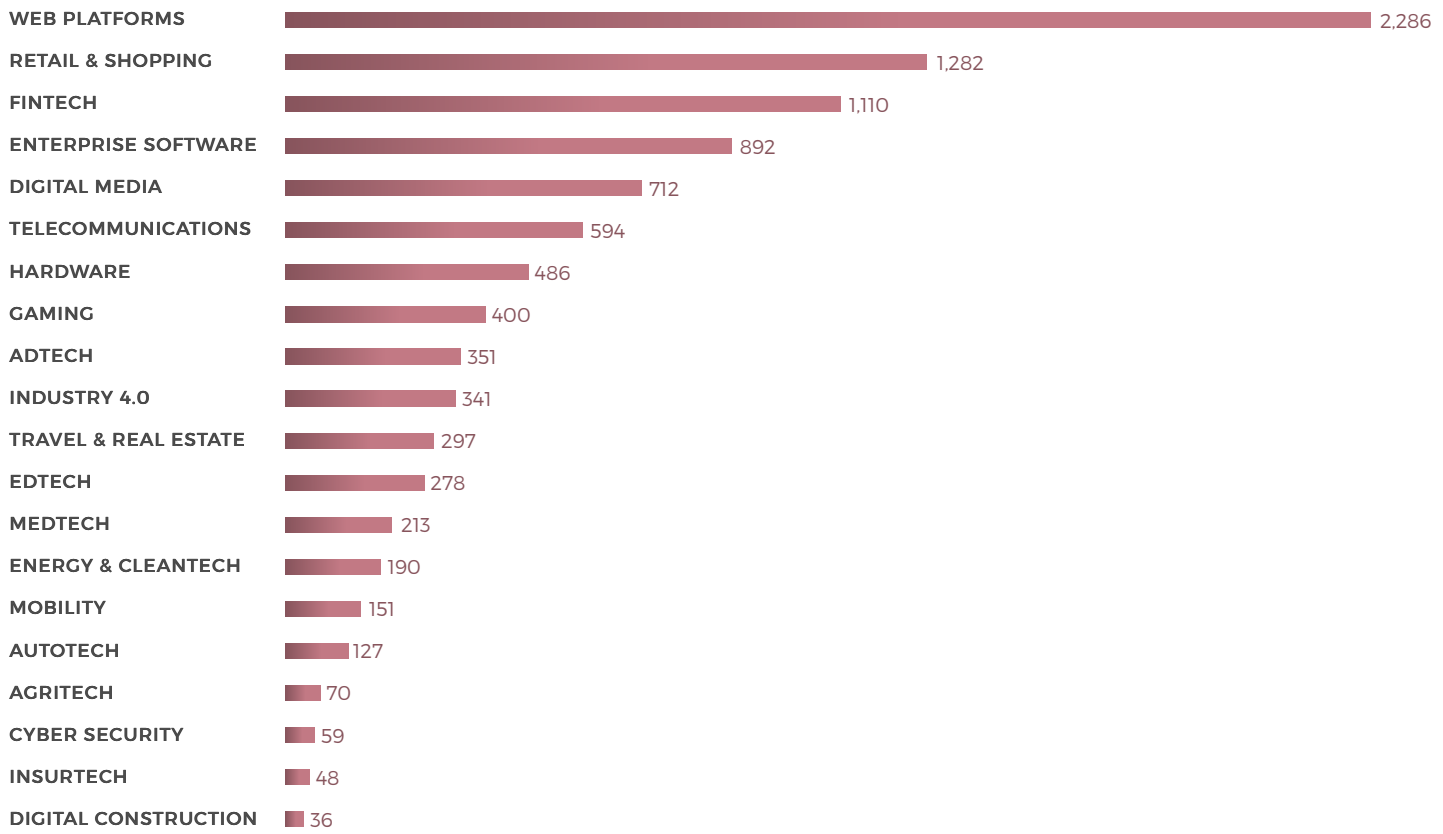
Enterprise Software and Industry 4.0 solutions also have an essential role in the Chinese tech landscape.

We tracked respectively 892 scaleups (9% of total) and 341 (3%), which collectively raised \$27B (8% of total).

Emerging technologies (Medtech, Energy & Cleantech, Insurtech, and Cyber Security) are starting to climb up the charts.

We expect to see more scaleups in those industries shortly.

Figure 11
TECH SCALEUP CHINA: TOP INDUSTRIES



China: Yesterday, Today and Tomorrow

While the theme across early US tech startups was enterprise software, **China’s first few “startups” were consumer-focused**, allowing them to scale rather quickly thanks to internet adoption by the burgeoning middle class. The launch of low-end smartphones by manufacturers like Xiaomi enabled many in China to skip PCs and move directly to phones and tablets. **Between the 2010-15, the total number of internet users increased by roughly 50%**, while internet penetration across mainland China increased from 34% to 50%.

Though **Chinese startups** started imitating the business models of their Western counterparts early on, they **quickly began innovating** having been empowered by mass amounts of consumer feedback and data enabled by mobile behavior.

Realization of the potential gains from higher internet usage and innovation set the stage for a flurry of VC investments in tech startups, leading to investors and entrepreneurs parlaying proceeds from successful exits into the next wave of startups.

With the Chinese government laying strong emphasis on artificial intelligence, cybersecurity, healthcare, and education, there is robust investment activity in these verticals as private companies, public venture arms and VCs participate in spurring competitive growth.

Based on significant investments in online video and streaming platforms, both traditional and online media categories decline see a decline in relative funding levels.

Methodology

Mind the Bridge categorizes “Tech Companies” as follows:

“Startup”

<\$1M funding raised

“Scaleup”

>\$1M funding raised

“Scaler”

>\$100M funding raised

“Super Scaler”

>\$1B funding raised

“Dual Companies”

Startups founded in one country that relocated their headquarters – and with that part of their value chain – abroad, while maintaining a strong operational presence in their country of origin.

Mind the Bridge defines **“Tech Companies”** as companies:

- operating in Tech & Digital industries,
- founded in the New Millennium,
- with at least one funding event since 2010.

Biotech, Life Sciences and Pharma, Semiconductors are currently not included in the scope of research.

Categorization of “Tech Companies” is based on capital raised (including both capital raised through private equity and on the stock markets), not on valuation.

It includes:

- All private equity funding rounds (including angel investments, seed capital, series A, B, C, etc...), either coming from VCs and CVCs; funding raised on equity crowdfunding platforms; convertible notes and other equity-based financial instruments.
- Public funding provided in exchange for equity (e.g. specific investments vehicles from the EIB).
- IPO proceeds, at closing price, including over-subscribed shares.
- Capital raised through ICO (exchange rate of cryptos at the day of ICO).

Operations with no new cash entering company's balance sheet as a number of existing shareholders sell all or a portion of their holding are not considered. This includes e.g. secondary funding rounds, buyouts and buy-ins.

It does not include (but not limited to): public grants, debt financing, product crowdfunding.

Mind the Bridge produces and monitors the following indicators:

“Scaleup Density Ratio”

Number of scaleups per 100K inhabitants.

A measure of density of scaleups in a given ecosystem.

“Scaleup Investing Ratio”

Capital raised by Scaleups as a percentage of GDP.

A measure meant to measure the capital invested in scaleups in a given ecosystem, compared to the size of the overall economy of that country.

“Scaleup Country Index”

Country ranking built upon Scaleup Density Ratio and Scaleup Investing Ratio.

A measure of the overall innovation commitment of a given ecosystem and its ability to produce significant tech players.

“Scaleup (City) Hub Index”

Hub ranking built upon Scaleup Density Ratio and Scaleup Investing Ratio.

A measure of the overall innovation commitment of a given city/tech hub and its ability to produce significant tech players.

“Scaleup Matrix”

The matrix visually compares ecosystems by factoring the Scaleup Density Ratio and Scaleup Investing Ratios.



Other definitions:

“Exit”

Liquidity event that occurred since 2010.

“M&A (Merger & Acquisition)”

For companies that exited via M&A, the valuation is the amount that the company got acquired for.

“IPO (Initial Public Offering)”

For companies that went public, the exit valuation is that on the day of the IPO.

“ICO (Initial Coin Offering)”

A mean of raising capital using cryptocurrencies issued by the company (“tokens”) in exchange for legal tender or other cryptocurrencies such as Bitcoin or Ethereum. Price data converted in US\$ at day of sale. Data collected from Tokendata.io, Coinmarketcap.com and other sources including official company documents.

“GDP (Gross Domestic Product)”

Data from IMF (2018, PPP).

“Population”

Data from World Bank, United Nations, Local government and other reliable sources (2018, or most recent census data).

Mind the Bridge data covers the following geographies:

“Continental Europe”

“Tech Scaleup Europe” analyzes scaleups headquartered in 45 Continental European states as listed below. We define European regions as follows:

British Isles: United Kingdom (including Gibraltar, Guernsey and Jersey), Ireland

Central Europe: France, Germany, Switzerland, Austria, Principate of Monaco, Liechtenstein.

Nordics: Denmark, Iceland, Finland, Sweden, Norway.

Southern Europe: Spain, Italy, Portugal, Greece, Malta, Cyprus, Andorra, San Marino, Vatican City.

Benelux: The Netherlands, Belgium, Luxembourg.

Eastern Europe: Poland, Czech Republic, Slovakia, Slovenia, Croatia, Serbia, Bosnia and Herzegovina, Montenegro, Macedonia, Kosovo, Albania, Romania, Bulgaria, Hungary, Moldova, Ukraine, Belarus.

Baltics: Estonia, Lithuania, Latvia.

Proprietary data by Mind the Bridge.

Mind the Bridge provides international comparisons with the following ecosystems.

“United States of America”

“Tech Scaleup Europe” analyzes scaleups headquartered in all 50 US states.

Overseas territories (e.g. Guam) are not included.

Data collected with the support of Crunchbase and analyzed and reclassified by Mind the Bridge.

The Report has a special focus on the Silicon Valley ecosystem. Refer to “Mind the Bridge, European Innovation Economy in Silicon Valley, September 2018” for further info about methodology.

“China”

“Tech Scaleup Europe” analyzes scaleups headquartered in the People’s Republic of China.

The special administrative regions of Hong Kong and Macau are included.

Data collected with the support of Zero2IPO and analyzed and reclassified by Mind the Bridge.

“Israel”

Data collected with the support of StartupNation and Crunchbase and analyzed and reclassified by Mind the Bridge.

Preliminary Nature of Data

Research is ongoing and results reported in this report are preliminary and cannot be considered as final.

Mind the Bridge sources of information include the MTB database, business information platforms, portfolios of VC companies, corporate venture units, business angels, accelerators and active seed and early stage funds, crowdfunding platforms, tech competitions and events, and other relevant channels.

Mind the Bridge welcomes contribution from everyone in the startup ecosystems by providing data and indicating cases of scaleup companies and exits to be monitored.

SEP Monitors are published by Mind the Bridge in collaboration with CrESIT.



While past VC investments drove Travel, Mobile, Internet, E-Commerce, current and future growth is led by AI, Scientific & Engineering Software and Edutech.

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Mind the Bridge

About Mind the Bridge

Mind the Bridge is a global organization that provides innovation advisory services for corporates and startups. With HQs in San Francisco (CA) and offices in London, Italy, Spain, and Belgium, Mind the Bridge has been working as an international bridge at the intersection between Startups and Corporates since 2007.

Mind the Bridge scouts, filters and works with 3,000+ startups a year supporting global corporations in their innovation quest by driving open innovation initiatives that translate into curated deals with startups (namely POCs, licensing, investments, and/or acquisitions).

Mind the Bridge publishes curated reports on the status of the scaleup ecosystems in different geographies, as well as M&As, IPOs, and innovation market trends in various verticals.

Mind the Bridge has strong partnerships with entities such as the London Stock Exchange and the European Commission, for whom it runs the Startup Europe Partnership (SEP) open innovation platform.

Mind the Bridge is the organizer of the Startup Europe Comes to Silicon Valley (SEC2SV) and Startup Europe Comes to Israel (SEC2IL) missions and the European Innovation Day conference.

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